Syllabus Edition
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Completing & Interpreting Cash Flow Forecasts

Exam code: 0450, 0986 & 0264, 0774

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Updated on 28 August 2025

Completing cash flow forecasts

- A business must first **gather information** about **all cash inflows** and **cash outflows** it expects to encounter over the period
- The following steps should then be taken to **construct the cash flow forecast**

Step 1 – Calculate total cash inflows

	March	April	May
Cash Inflows			
Cash from sales	€4,500	€4,800	€5,300
Capital introduced	€6,000	€0	€0
Total cash inflows	€10,500	€4,800	€5,300

- In this instance, the business expects to receive cash inflows from sales in March, April and May
- Owners' capital of €6,000 will be introduced in March
- The total for each month is calculated by adding cash from sales to capital introduced

Step 2 – Calculate total cash outflows

	March	April	May
Cash outflows			
Rent	€1,400	€1,400	€1,400
Stock purchases	€6,800	€600	€800
Wages	€2,100	€2,100	€2,100
Utilities	€460	€460	€480
Total cash outflows	€10,760	€4,560	€4,780

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

smaller amounts in April and May
- Wages are expected to be €2,100 in each month
- Utilities of €460 will be paid in March and April, increasing to €480 in May
- Total cash outflows each month is calculated by adding these together

Step 3 – Calculate net cash flows

- The **net cash flow** is calculated by subtracting total cash outflows from total cash inflows

	March	April	May
Net cash flow	-€260	€240	€520
Opening balance	€0	-€260	-€20
Closing balance	-€260	-€20	€500

- In March the net cash flow is €10,500 - €10,760 = €(260)
  - Net cash flow is negative as cash outflows are greater than cash inflows
- In April the net cash flow is €4,800 - €4,560 = €240
- In May the net cash flow is €5,300 - €4,780 = €520
  - In both months, net cash flow is positive as cash inflows are greater than cash outflows

Step 4 – Calculate opening and closing balances

- The **opening balance** is the previous month's closing balance carried forward
- The **closing balance** is calculated by adding the net cash flow to the opening balance

	March	April	May
Net cash flow	-€260	€240	€520
Opening balance	€0	-€260	-€20
Closing balance	-€260	-€20	€500

- In March the opening balance of €0 is added to the net cash flow of €(260) to leave a closing balance of €(260)
- In April the closing balance from March is carried forward to become its opening balance of €(260)
- This opening balance is added to April's net cash flow of €240 to leave a closing balance of €(20)
- In May the closing balance from April is carried forward to become its opening balance of €(20)
- This opening balance is added to May's net cash flow of €520 to leave a closing balance of €500

The complete cash flow forecast

Capital introduced	€6,000	€0	€0
Total cash inflows	€10,500	€4,800	€5,300
Cash outflows			
Rent	€1,400	€1,400	€1,400
Stock purchases	€6,800	€600	€800
Wages	€2,100	€2,100	€2,100
Utilities	€460	€460	€480
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Net cash flow	-€260	€240	€520
Opening balance	€0	-€260	-€20
Closing balance	-€260	-€20	€500

Worked Example

Here is a simple three-month cash flow forecast for a small seaside café

	March	April	May
Cash Inflows			
Sales	46,000	54,000	61,000
Cash Outflows			
Inventory	13,000	13,000	13,000
Wages	28,000	28,000	
Miscellaneous	3,500	4,000	4,000
Total Cash Outflows		45,000	48,000
Net cash flow	1,500	9,000	
Opening balance	4,000	5,500	14,500
Closing balance		14,500	30,500

Complete the cash flow forecast to show

a. Total cash outflows for March

b. Closing balance for March

c. Wages for May

d. Net cash flow for May

(4)

Step 1: Add all of March's cash outflows to calculate the total

Total outflows for March = 13,000 + 28,000 + 3,500 [1]

= 44,500

Step 2: Add the opening balance to the net cash flow to calculate March's closing balance

$= 5{,}500$

Step 3: Subtract inventory and miscellaneous outflows from total cash outflows to calculate wages

$$\text{Wages for May} = 48{,}000 - 13{,}000 - 4{,}000$$ [1]

$$= 31{,}000$$

Step 4: Subtract total cash outflows from total cash inflows to calculate net cash flow

$$\text{Total cash Inflows} - \text{Total cash outflows} = \text{Net cash flow}$$

$$= 61{,}000 - 48{,}000$$ [1]

$$= 13{,}000$$

Examiner Tips and Tricks

Always set out your calculations clearly – show how you worked out inflows, outflows, net cash flow, and balances. Even if your final figure is wrong, you can still gain marks for the working

Interpreting cash flow forecasts

- Once a cash flow forecast has been constructed, **managers may be able to use it to make financial decisions**

	March	April	May
Cash Inflows			
Cash from sales	€4,500	€4,800	€5,300
Capital introduced	€6,000	€0	€0
Total cash inflows	€10,500	€4,800	€5,300
Cash outflows			
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Opening balance	€0	-€260	-€20
Closing balance	-€260	-€20	€500

- Overall, this cash flow forecast **supports an application for the business to borrow £6,000** in March to cover the initial low inflows, significant outflows and **negative net cash flow**
- It may also arrange a short-term **overdraft** to cover **negative closing balances** in March and April

Overcoming cash flow problems

- The cash flow forecast example above identifies a **cash flow problem** in March and April where the **closing balance is negative**
- It has a range of ways to solve this issue to prevent **insolvency**
  - The most suitable method may be to arrange a flexible, short-term **overdraft** facility with its bank

Ways to solve cash flow problems

Method	Explanation
Reduce the credit period offered to customers	• Collecting money owed from customers more quickly ○ However, **customers may move to competing businesses** that offer better **credit terms**
Ask suppliers for an extended repayment period e.g an extension from 60 to 90 days	• The business can use cash it would have paid to suppliers for other purposes • Suppliers may be **unwilling** to extend credit terms
Make use of overdraft facilities or short-term loans	• The business can spend **more money than it has in its bank account** • Banks may be reluctant to lend to businesses with cash-flow problems
Sell off excess stock	• Less **liquid** current assets will be converted into cash • Storage and security **costs may also be reduced** • Stock may need to be **sold at a low price** to attract sales
Sell assets and lease fixed assets instead	• The business will continue to **have the use of assets** but must make regular payments to the leasing company
Introduce new capital and reduce drawings from the business	• New capital may be **introduced by the owner** or from **additional investors** • This may result in the **dilution of control** of the business

- This may represent a significant **opportunity cost**, especially when interest rates are high

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